



UPI and Payment App Fraud

We need your OTP for verification?!

With the rapid adoption of Unified Payments Interface (UPI) and digital payment apps, India has witnessed a transformative shift in financial transactions. The convenience and speed of UPI-based transactions have made cashless payments a preferred choice for millions. However, with this surge in digital transactions, cybercriminals have devised sophisticated scams targeting unsuspecting users. Fraudsters exploit loopholes in digital literacy, human psychology, and system vulnerabilities to siphon off money from victims.

A report by the Reserve Bank of India (RBI) highlighted that digital payment frauds accounted for nearly 45% of all financial fraud cases in India in 2023. The National Payments

Corporation of India (NPCI) has consistently issued advisories warning users about the rising cases of UPI fraud. The Economic Survey of India 2023 further revealed that over 95,000 complaints related to digital fraud were registered in a single year, emphasizing the scale of the issue. This chapter delves into the modus operandi of fraudsters, the warning signs to look out for, and effective strategies to protect oneself from falling victim to digital payment scams.

How scammers operate?

Cybercriminals deploy various tactics to deceive users into making unauthorized transactions. Some of the most common fraudulent methods include: